Legislative Assembly by the Finance Member, Sir George Schuster, on September 8, 1933. Care was taken by the government not to commit itself to any monetary standard during discussions in the Assembly. The Bill was passed by the Assembly on December 22, 1933 and by the Council of State on February 16, 1934. The Governor General gave his assent on March 6, 1934.

The provisions of the Act relating to the constitution of the bank, issue of share capital, and establishment of central and local Boards became operational from January 1, 1935, under a notification issued by the Government of India on December 20, 1934. The appointment of the first Governor and the nomination of the first Central Board of Directors were also made under the same notification. The Board of Directors held its first meeting on January 14, 1935, in Calcutta, considering among other things, matters relating to issue of share capital, agreements with the Government of India and the Imperial Bank, and numerous other matters relating to the organization of the bank.

The Board finalized these issues at its second meeting in Delhi on February 23, 1935, and decided to issue the share capital of the bank at par. The issue to the public was made in March 1935 and the lists remained open from March 22–25, with the issue being oversubscribed by nearly ₹5 crores or 100 percent.[2] The entire share capital was allotted to the public with the exception of the nominal value of ₹2.2 lakhs which were assigned to the Central Government under Section 4(8) of the Reserve Bank of India Act to be held for disposal at par to Directors seeking to obtain the minimum share qualification.

The Reserve Bank of India Act consisted of sixty-one Sections with 242 clauses and five Schedules. It took the Legislative Assembly twenty-four days to discuss the motions to commit the Bill to the Select Committee and complete a clause-by-clause discussion. During the third reading as many as 373 amendments were initially tabled. It extended to the whole of British India including Burma which was then a part of British India. Although the Act did not specifically apply to the Indian princely states, the provisions were effective in these territories in actual practice. To ensure a wide distribution of the ownership of the bank’s share capital, the country was demarcated into five geographical areas and a specific portion of the capital was assigned to each of these areas. The value of each share was fixed at